The Austin First-Time Buyer's Guide to Down Payment Assistance

A plain-English breakdown of every major DPA program available in Austin in 2026 — who qualifies, how the money works, and how to use it.

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THE PROBLEM

Why Most Austin Buyers Are Stuck on the Sideline

Most Austin first-time buyers are waiting until they have **20% saved**. On a $400K home, that's **$80,000+**. It could take years — and it doesn't have to.

> There are programs right now — active, funded, and open to applications — that give eligible Austin buyers up to **5% of their purchase price as a grant** toward their down payment. No repayment. No second payment. A true gift.

On a $350,000 home, that's **$17,500 you didn't have to save.**

This guide walks through every major down payment assistance program available in Austin in 2026 — who qualifies, how the money works, and what to expect when you apply.

How to use this guide
Read the program overview and the "Do I Qualify?" checklist first. The rest is program-by-program detail you can come back to.

If something makes you think "that could be me" — book a free 15-minute call. I'll run your actual numbers.

MYTH VS. REALITY

The 20% Myth — And Why It's Costing You Years

You do not need 20% down to buy a home in Austin. You never did. The mortgage market moved on. The myth didn't.

73%

First-Time Buyers

NAR data shows 73% of first-time buyers put down 15% or less

6–9%

Typical Down Payment

The typical first-time buyer puts down just 6–9% of the purchase price

3.5%

FHA Minimum

FHA loans require only 3.5% down with a 620+ credit score

$3K

Cash to Close

With DPA stacked on top, some Austin buyers close with as little as $3,000–$5,000 out of pocket

QUALIFICATION CHECKLIST

"Do I Qualify?" — The 3-Question Checklist

Run through these before reading the rest of the guide. If you answer **yes, yes, no** — you're in range for at least one of the programs covered here.

1	2	3
Credit Score 620 or Above?	**Household Income Below $167,250?**	**Have You Owned a Home in the Last 3 Years?**
Check Credit Karma — it's free and doesn't affect your score. Most programs require a minimum of 620, with some requiring 640.	That's the Travis County income limit for the main program I recommend — TSAHC Home Sweet Texas. Limits are higher for larger households.	Most programs require you to be a first-time buyer, which the IRS defines as not having owned a primary residence in the past 3 years. **Answer should be NO.**

Yes, Yes, No? You likely qualify for at least one program in this guide. Keep reading.

☆ TOP RECOMMENDATION

Program 1: TSAHC Home Sweet Texas

Administered by the Texas State Affordable Housing Corporation | Best for most Austin first-time buyers earning up to $167,250

What You Get

Up to **5% of your purchase price** as either:

- **A grant** — the money is yours. No repayment. No lien. Gone at closing.
- **A forgivable second lien** — no monthly payment, forgiven over time if you stay in the home.

You pick the option that fits your situation.

Who Qualifies

- Credit score: **620 minimum**
- Household income: **up to $167,250** in Travis County
- Purchase price: **up to ~$598,000** in Travis County
- Primary residence only
- **Open to repeat buyers too** — no first-time buyer requirement

How the Math Works — $350,000 Home Example

Purchase Price	$350,000
TSAHC Grant (5%)	$17,500
Your Down Payment (3.5% FHA)	$12,250
Grant Covers	Down payment + closing costs
Potential Cash to Close	**As low as $3,000–$5,000**

ADDITIONAL PROGRAMS

Programs 2, 3 & 4: More Austin DPA Options

TDHCA My First Texas Home

Texas Dept. of Housing & Community Affairs | Best for lower-income first-time buyers

- Up to **5% of loan amount** as a **0% interest second mortgage**
- No monthly payment on the second
- Deferred until you sell or refinance — nothing due as long as you keep the home
- Credit score: **620 minimum** (most lenders require 640)
- First-time buyer required (no ownership in past 3 years)

Travis County Hill Country DPA

Travis County | Best for buyers in unincorporated Travis County

- **4–6% of purchase price**, forgiven after **10 years** in the home
- No monthly payment during the forgiveness period
- Credit score: **640 minimum**
- If you sell or refinance before 10 years, you may owe back a portion
- First-time buyer requirement applies

City of Austin DPA (When Funded)

City of Austin Housing & Planning Dept. | Best for lower-income buyers inside city limits

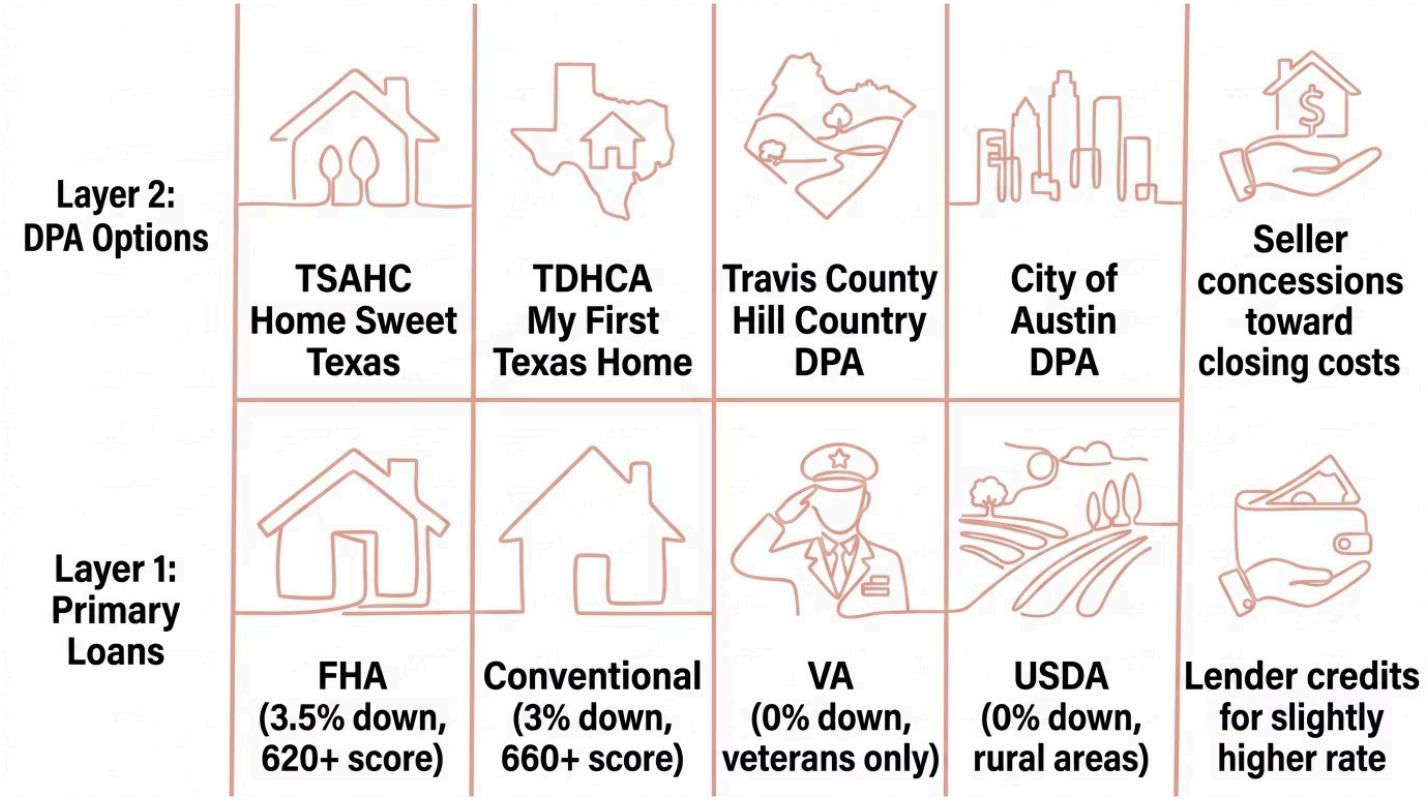
- Up to **$40,000** in assistance for eligible buyers
- Structured as a forgivable second lien
- Income limits: typically **80% of Area Median Income** or less
- Funding is **limited and runs in cycles** — often oversubscribed
- First-time buyer required; must purchase inside City of Austin limits

⚠ **City of Austin DPA Note:** When it's open, it's powerful. When it's closed, I won't waste your time. I'll tell you honestly whether to apply for this or start with TSAHC instead.

HOW IT ALL FITS TOGETHER

How DPA Stacks With Your Loan

DPA programs are not a replacement for your mortgage — they sit on top of it. The right combination depends on your credit, income, purchase price, and timeline.



The right combination depends on your credit, income, purchase price, and timeline. That's the conversation we have on the 15-minute call.

REAL CLIENT STORY

A Real Example: How Sarah Bought Her First Home With $4,100 Out of Pocket

Sarah was renting in South Austin. She thought she needed $40,000+ saved before she could buy. Here's what actually happened.

Sarah's Starting Numbers

- Household income: **$88,000**
- Savings: **$18,000**
- Credit score: **702**
- Believed she needed: **$40,000+**

What We Actually Did

- **TSAHC Home Sweet Texas** — 5% grant on a $335,000 home = **$16,750**
- **Conventional loan** (3% down) paired with the grant
- **Seller concessions** covered most of her closing costs
- Her cash to close: **$4,100**

She's been in her home 18 months. No second payment. No repayment on the grant. She owns a home she thought was 3+ years away.

> Sarah isn't unusual. She's exactly who TSAHC was designed for — working households who earn too much for deep-subsidy programs but not enough to save 10–20% in Austin's market.

WATCH OUT

What to Watch Out For

DPA programs are real and powerful, but there are pitfalls. Here's what I see go wrong — and how to avoid it.



Using a Lender Who Doesn't Do DPA

Not every lender is approved to originate these programs. If a big bank quotes you a loan and doesn't mention DPA, they probably can't do it. Ask directly.



Missing Income Recertification Deadlines

TSAHC and TDHCA require income verification at specific points in the process. Missed deadlines kill the application. Your lender should own this — if they don't, find a new lender.



Selling Too Soon on Forgivable Programs

Forgivable seconds penalize early exits. If you know you'll move in 2–3 years, grant-style DPA (TSAHC) beats forgivable (Travis County) every time.



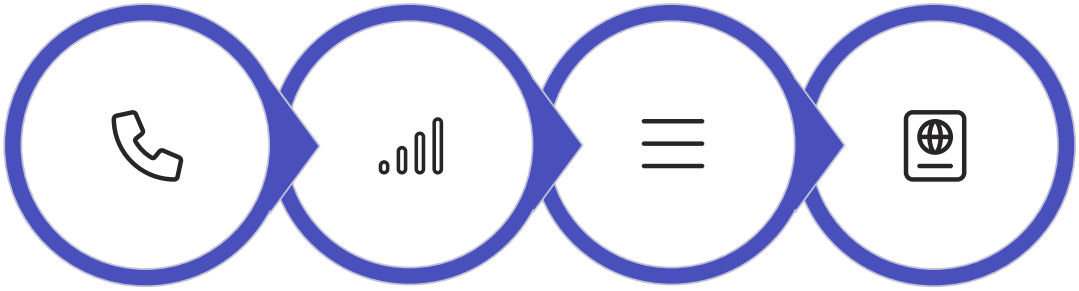
Stacking Incompatible Programs

Some first-time buyer programs have exclusivity rules. You can't always combine TSAHC and TDHCA. Your lender should run only the combinations that are actually allowed.

→ NEXT STEPS

What Your Next Step Looks Like

If you got this far, you're past the research phase. Here's exactly what happens when you book the 15-minute call.



15-Minute Call | **Apply Online** | **DPA Check** | **Pre-Approval**

No cost. No obligation. No sales pressure.

Book Your Free 15-Minute Call

calendly.com/adamstyer/15minutes

Application questions:
styermortgage.com/contact.html

About Adam Styer

Independent mortgage broker in Austin, Texas. NMLS #513013. Helping Austin buyers finance homes since 2017. Over 1,000 loans closed.

I work for you — not a bank. Access to **40+ wholesale lenders**. Every client works directly with me. No call center. No handoffs.

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Compliance: This guide is for educational purposes only and is not an offer to lend. All loans are subject to credit approval, underwriting, property appraisal, and program availability. DPA program details may change; verify current terms at tsahc.org, tdhca.state.tx.us, traviscountytx.gov, and austintexas.gov/housing. Adam Styer, NMLS #513013. Equal Housing Opportunity. Copyright 2026 Adam Styer.